Economic Reforms (LPG) in India

- Started on **24th July 1991** by PM P.V. Narasimha Rao and FM Dr. Manmohan Singh.
- Known as the **New Economic Policy (NEP)**.

Reasons for Economic Reforms

- Rise in prices
- Deficit in Balance of Payments (BoP)
- Fall in Foreign Exchange Reserves
- Rise in Fiscal Deficit
- Poor performance of Public Sector Undertakings (PSUs)

1. Liberalisation

End of licenses and restrictions previously imposed by the government.

Key Aspects of Industrial Liberalisation:

- **Abolition of Industrial Licensing:** Licenses no longer required for most industries. Reduced from 18 to 5 (liquor, cigarette, defence equipment, industrial explosives, dangerous chemicals).
- **Decrease in Role of Public Sector:** Industries exclusively reserved for public sector reduced from 17 to 3 (Defence equipment, Atomic energy generation, Railway transport).
- **De-reservation under Small-Scale Industries:** Many goods produced by SSIs de-reserved; investment limit increased to ₹1 crore.
- **Freedom to Import Capital Goods:** Industries can import capital goods for technology upgrading.
- **Abolition of Restrictive Trade Practices:** MRTP Act 1969 replaced by Competition Act 2002, removing restrictions on large firms.

Impact of Liberalisation on Financial Sector:

- Change in Role of RBI (from regulator to facilitator)
- Increase in Private Sector Banks
- Increase in Limit of Foreign Investment

Impact of Liberalisation on Trade & Investment Policy:

- Removal of Quantitative Restrictions on Exports & Imports
- Removal of Export Duties
- Reduction in Import Duties
- Relaxation in Import Licensing System

Tax Reforms:

- Rationalisation of Direct Taxes
- Reforms in Indirect Taxes
- Simplification of Tax Process

2. Privatisation

Giving greater role to the private sector and reducing the role of public sector.

Methods of Privatisation:

- Transfer of ownership, property, and management of public sector companies to the private sector.
- Selling off part of the equity of PSUs to the public (**Disinvestment**).

Central Public Sector Enterprises (CPSEs) in India:

Companies where the central government's share is 51% or more.

- **Maharatna (11):** IOCL, SAIL, BHEL, GAIL, ONGC, BPCL, HPCL, NTPC, CIL, Power Finance Corporation, Power Grid Corporation Ltd.
- **Navratna (13)**
- **Miniratna (73)**

3. Globalisation

Integrating India's economy with the world economy by removing barriers to international trade.

Policy Strategies Promoting Globalisation:

- **Increase in limit of Foreign Investment:** FDI share raised to 100% in some sectors; Foreign Exchange Management Act (FEMA) introduced.
- **Long Term Trade Policy:** Restrictions and controls on foreign trade removed; open competition encouraged.
- **Reduction in Tariffs:** Tariff barriers withdrawn on most goods.
- **Withdrawal of Quantitative Restrictions:** In conformity with India's commitment to WTO.

Outsourcing:

- A business practice where a company hires another company/individual to perform tasks.
- Examples: Call centers, clinical advice, teaching, accountancy, film editing.
- India is a favorable destination due to cheap labor (even skilled workers) and IT industry growth.
- Business Process Outsourcing (BPO) is popular in India (e.g., Call Centers).

World Trade Organisation (WTO):

- Intergovernmental organization regulating international trade.
- Commenced 1st January 1995, replacing GATT (1948).
- Headquarter: Geneva, Switzerland.
- 164 member countries, all abide by WTO rules.
- Covers trade in goods and services.

Functions of WTO:

- Facilitates international trade by removing tariff and non-tariff barriers.
- Implements rules and provisions related to trade policy.
- Ensures optimum utilization of world resources.
- Protects the environment.
- Provides a framework for dispute settlement.
- Carries out periodic reviews of member countries' trade policies.

Types of Trade:

- **Bilateral Trade:** Trade between two countries.
- **Multilateral Trade:** Trade between more than two countries.

Appraisal of LPG Policies

Merits:

- Increase in rate of economic growth.
- Increased industrial production.
- Increase in Foreign Investment.
- Rise in Foreign Exchange Reserves.
- Rise in Exports.
- A check on Inflation.
- A check on Fiscal Deficit.
- Employment opportunities provided by private sectors.

Demerits:

- Neglect of Agriculture.
- Neglect of rural areas in growth process.
- Ineffective Tax Policy.
- Spread of consumerism.
- Unbalanced growth.

Demonetisation

- Central bank withdraws certain denomination currency notes as official mode of payment.
- **8 November 2016:** Government of India demonetized ₹500 and ₹1000 notes (Mahatma Gandhi series). New ₹500 and ₹2000 notes issued.
- ₹500 and ₹1000 notes constituted 86% of total currency in circulation.
- Controversial: 99.30% of demonetized money returned to the system (RBI report).

Aim of Demonetisation:

- Curb corruption and penalize illegal activities.
- Stop circulation of black money.
- Prevent terror funding.
- Prevent tax evasion.
- Promote cashless economy.

Impact of Demonetisation:

- Bank Deposits increased.
- Decline in Cash transactions.
- Digitisation promoted.
- Real estate prices decreased.
- Rise in income tax collection.
- Rise in indirect tax collection.

Goods and Services Tax (GST)

- Indirect tax levied on the supply of goods and services.
- Passed in Parliament: 29 March 2017.